6.5.2 Cash Sales

The auditor should be very careful in verifying cash sales as there are greater chances of fraud. Firstly, the auditor should verify the system of internal check in operation with regard to cash sales. Secondly, he should verify cash sales invoices with the entries in the summary of daily cash sales with regard to name of the customer, date, quantity, rate, discount, tax, rounding off etc. Thirdly, the summary of daily cash sales should be compared and tallied with the sales which are accounted in the cash book. Fourthly, the auditor should counter check the entries of cash sales in the cash book with the carbon copies of cash memos. Lastly, the auditor should ensure that all cash received on account of cash sales is deposited in the bank on the next day itself. Fraud may take place in respect of cash sales, when salesmen sell goods and do not make entries in the cash book and misappropriate the money. In order to overcome such type of fraud, salesmen should be instructed not to receive cash from customers. The auditor should compare the dates on the cash memos and the cash book. If cash discount has been allowed on sales, he should see that a uniform policy and rate of discount has been followed.

Documents to be Vouched: Sales Invoice, Duplicate cash Memo, Summary of daily cash sales, Rough cash book and main cash book.

Example:
On 10.4.16, XY Co. sold goods worth Rs.60,000 for cash.

Vouching of Cash Sales:

Auditor should vouch the genuiness of the transaction in the following manner:

1. Verify Sales Invoice with regard to date of sale and sale value.
2. Verify entry in Cash Book with respect to date and amount.
3. Verify entry in Sales Account with respect to date and amount.

Sales Invoice
XY Co.
Dealers in Textiles
Golden Plaza, Ring Road, Chennai.

Invoice Number: **Date: 10/4/16**

Particulars	Quantity	Rate ₹	Amount ₹
Sarees	48	1250	60,000
Total			60,000

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